The governor shall place the recommendations of the commission along with the action taken report before the state legislature.

The central finance commission shall also suggest the measures needed to augment the consolidated fund of a state to supplement the resources of the municipalities in the state (on the basis of the recommendations made by the finance commission of the state).

Audit of Accounts The state legislature may make provisions with respect to the maintenance of accounts by municipalities and the auditing of such accounts.

Application to Union Territories The provisions of this part are applicable to the Union territories. However, the President may direct that they would apply to a Union territory subject to such exceptions and modifications as he/she may specify.

In exercise of the above power, the President (in 2001) directed that the provisions of Article 243ZD (Committee for district planning) and 243ZE (Committee for metropolitan planning) shall not apply to the National Capital Territory of Delhi.

Exempted Areas The act does not apply to the scheduled areas and tribal areas in the states [4]. It shall also not affect the functions and powers of the Darjeeling Gorkha Hill Council of the West Bengal.

However, the Parliament may extend the provisions of this part to the scheduled areas and tribal areas subject to such exceptions and modifications as it may specify.

District Planning Committee Every state shall constitute at the district level, a district planning committee to consolidate the plans prepared by panchayats and municipalities in the district, and to prepare a draft development plan for the district as a whole. The state legislature may make provisions with respect to the following:

1. The composition of such committees;
2. The manner of election of members of such committees;
3. The functions of such committees in relation to district planning; and
4. The manner of the election of the chairpersons of such committees.

The act lays down that four-fifths of the members of a district planning committee should be elected by the elected members of the district panchayat and municipalities in the district from amongst themselves. The representation of these members in the committee should be in proportion to the ratio between the rural and urban populations in the district.

In preparing the draft development plan, a district planning committee shall have regard to—

1. matters of common interest between the Panchayats and the Municipalities including spatial planning, sharing of water and other physical and natural resources, the integrated development of infrastructure and environmental conservation and
2. the extent and type of available resources whether financial or otherwise.